WHY PERFETTI?



GROUP 4

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Hello From Perfetti





ABSTRACT

The paper compares consumer behaviour in our surroundings to Perfetti's consumer trends. The observed consumer behaviour was divided into different sections and each area was then analysed. To further solidify our arguments, a focus group with 8-9 participants via zoom was conducted to observe confectionary habits of people around us. Findings have been elaborated in each area separately.

CONSUMER TRENDS

BRAND IDENTITY OVER COMPANY IDENTITY

It is important to know how brand identity differs from the company's identity and the role it plays in the buying behavior of the consumers. Brand identity means how the brand represents itself to consumers and how consumers perceive it. The same goes for the company identity. The only difference is that some big corporations have more than one brands to cater to different products or needs of the consumers. In the case of Mentos (Brand name), it is owned by Perfetti (company name).

In the interview, Mr. Afnan mentioned that their parent company is not widely known to the public. The consumers mainly associate themselves with the brand which shows that their brand identity is stronger. To assess the impacts of company identity over purchasing decisions, we asked this question to participants in a focus group that we conducted - do they know a company named Perfetti? Surprisingly, no one knew about it. We asked them if they get to know that Mentos and Fruit-tella are products from the same company, would you believe it. No one agreed. On contrary, when we asked about the competitor, Hilal Foods, almost all the participants knew about it. The reason behind this is the kind of ads that Hilal makes. They focus on company identity too and mention Hilal in almost all adverts of their brands. To assess the impact of that, we asked participants if they would be willing to purchase other products that are originally from Hilal, and most of them said yes. This can be seen from the past as well. Hilal entered the cupcake market in 2012 and it became a huge success for them. Since the brand "Hilal" was widely known, it became easier to market new products based on the trust that was built on other brands like Candies (Khatti Meethi, Khopra Candy, Pan Pasand), Chewing Gums (Ding Dong & Fresh Up). Therefore, we can easily conclude that a strong company identity definitely plays a big role in brand success.



AGE

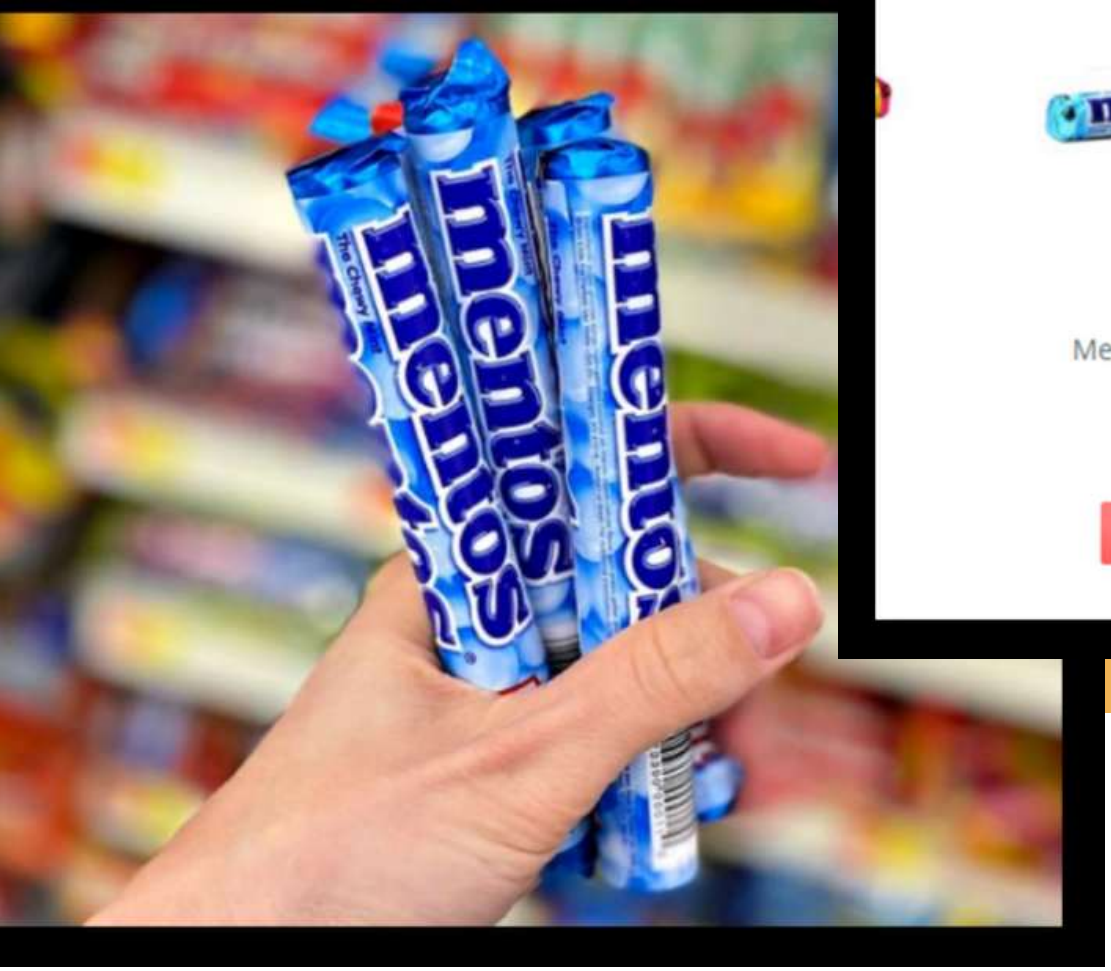


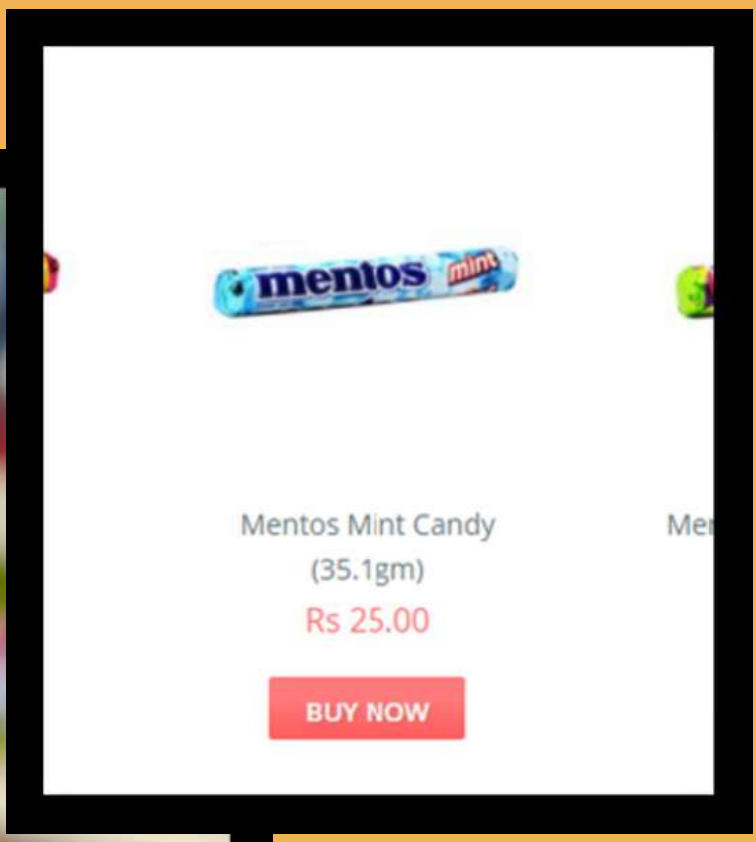
One major demographical aspect Mr. Afnan mentioned was age. Usually when we hear about sugary chewing gum products, the target demographic that comes into our mind are teens and children. However, according to Mr. Afnan, Perfetti has a consumer base of older individuals as well. This is due to the product type alongside its legacy. Perfetti's products have been in the market for many years; for example, Chupa Chup has been in the market for over 60 years now, hence the people who grew up eating that candy, still hold sentimental value for it. Meaning, many older customers have grown up with the product, thus it has transcended over generations, leading to Parfetti moving alongside the consumer journey for a long time. Mr. Afnan explained how as you grow older, your tastes and flavor preferences might change, however that doesn't mean you stop buying the product. He gave an example of Mentos and how in early teen years, we may prefer buying a fruit flavor. However, as we grow older, freshness might become a more important aspect hence we might end up buying mint flavor Mentos. Perfetti has even incorporated this aspect in their advertisements of Chupa Chup and mentos as we will mention later.



Similarly, speaking from personal experience, most adults around me are big fans of chewing gum; my dad always keeps a pack in his car for when he is driving. Thus, we can say that chewing gum isn't a product that is solely for a certain age group. Our focus group findings reiterate this. When we asked the participants 'which age groups do you think eats chewing gum', we got diverse replies. 6 out of 9 participants did agree that older customers also enjoy chewing gum, hence buying it however there was an overall consensus that most sales are by younger customers.

PRICE





Another aspect that influences Perfetti's consumer behavior was their price. Mr. Afnan talked about how price point is a big determinant of the size and packaging of the product. He also mentioned since chewing gum and other sugary items are impulse products, consumers are price sensitive. Meaning consumers' willingness to buy will decrease if the price is increased. Hence, we can say that these are elastic goods. Due to this reason, most people in South Asia, including Pakistan, buy one chewing gum instead of multiple (single purchase). Hence, we can say that in order to remain competitive, Perfetti keeps its prices low. This can be seen from the fact that a Mentos stick costs Rs25 only, making it affordable for the mass Pakistani Market. Likewise, one Mentos has 14 pieces, hence one-piece costs less than Rs 2.

In our focus group, we asked the participants how much would they be willing to pay for a single piece of chewing gum, and most of the respondents said less than Rs 10. Hence, we can say that chewing gum is more of a cheap item for which consumers will not be willing to pay a lot. Hence, Perfetti does an excellent job by keeping its prices low so that more people buy their products especially when they are buying other essentials. A personal example would be how I mostly buy gum when I go grocery shopping and see it near the cash counter. This impulse buying is only possible since gum is a cheap product.

CONSUMER PURCHASE DECISION

If we talk about the consumer purchase decision, the type of the product is such that it usually does not make it into a list of shopping. So, the customer is more likely to purchase it impulsively when they are buying other products. The consumer is very less likely to purchase it alone and go to a shop for that purpose, so it is mostly accompanied by some other product purchases as we When we asked people in the focus group about how often d they plan to buy a piece of chewing gum or products like that, the majority of people stated how they just somehow end up buying it when they go a shop.



This is because of the placement of the product as well because these are usually displayed on the counters and so while billing, they are just reminded of buying them. Therefore, the buying decision is extremely impulsive. We had a candy lover in the focus group and she was likely to go for only candy shopping but even then, she purchased Mentos or Fruit-tella with a couple of other candy products and chewing gums. These products are also much more likely to be consumed and bought in mono pieces as opposed to being bought in bundles.

When we asked consumers what occasions and events do they specifically buy these pleasure-seeking fun products at, we found out that mostly buy them when they have to travel or for a birthday party, and then they also buy them on a regular basis when they go to a shop to buy other items. Moreover, they do think about sharing these products with friends as well so they look for packaging that is easy for sharing purposes as well. Like some people in the focus group preferred box packing whereas some preferred stick packing for sharing and consuming the product multiple times.

REGIONAL DIFFERENCES





As Mr. Afnan mentioned mostly Perfetti's products vary a lot with regions in terms of flavor, packaging, colors, and so on. Regional differences showcase different preferences of consumers when they are looking for fun-seeking products. Therefore, Perfetti customizes its products from region to region. For example, a green mango-filled lollipop of Chupa Chup does really well in India because it is in line with the customer taste preferences there, this flavor is likely to do well in Pakistan as well due to similar taste preferences. If we see in Pakistan there are a lot of flavors that are very specific to the taste of people found in candies like Amrood Candy, Fanta, Cola candy, Elaichi, etc. When we asked the people in the focus group as to what would their taste preference be while selecting a chewing gum or a candy, mostly replied with a fruity and mint flavor, they also talked about how peppermint was introduced in Pakistan and took a while for people to develop a liking for it.

When we asked these people whether regions play a role in determining the flavors and products shape and other product intrinsics, they were all in confirmation of the idea that region definitely plays a role. They also talked about how food flavor choices change from Lahore all the way to Karachi. Therefore, in terms of any food/ tasting product region definitely plays a huge part.
Moreover, since people in Asian countries are more likely to buy products in single packing instead of bundles of products like in the USA or UK, the packaging here is according to that. Buying chewing gums and candies online is also not quite common in Pakistan as compared to in other countries even in the COVID scenario so positioning the product accordingly is also important. Perfetti gives a lot of importance to its customers and actively makes its products relevant and fresh to the consumers.



COMPETITORS OF PERFETTI

Perfetti's competitors are diverse, depending on the market. As indicated in the interview, certain markets have multinational players competing, while others have local brands competing against us. For example, in Pakistan, the competitor would be Hilal which is a local brand, in Indonesia, the competitor is IndoFood which is a local brand as well.

As far as the Pakistani Market is concerned, the interviewee mentioned their products are sold through a grey market as they are not directly operating in Pakistan but still Hilal Foods are a direct competitor for their products. Currently, Hilal is offering a multiple range of products from bubble gums to candies and baked cupcakes as well. It has a very strong brand identity in Pakistan that is incorporated in consumers through repeated marketing tactics. For example, Ding Dong, and Fresh Up, which are the top-selling chewing gum brands in Pakistan are owned by Hilal.

We asked the participants in the focus group about what brands they prefer when they purchase bubble gums. Most of them mentioned these two along with some other brands like Boom Boom, Host, and Extra. Fresh Up was on the top because of its low price and more available flavors in the market. Some of them mentioned Trident as well which is an expensive substitute and is only bought on rare occasions.



ADVERTISEMENT

The company's advertisements disclose a variety of customer insights, such as the Mentos advertisement, which depicts children and teens bonding with adults and interacting with them. Such aspects have aided the brand in communicating a message and establishing brand resonance and perception in the minds of consumers. In addition, Mentos is based on the concept of a sharing brand. Its unique stick style, which contains numerous sweets, is ideal for sharing. Such simple things have conveyed important messages that have improved the brand's image.

Pathos is predominantly incorporated into the company’s branding strategy. Their adverts are based on the feelings of connectivity, experiences, and emotional bonds that people have been missing.



The company’s use of pathos – appeal to human emotions – has helped them create an emotional linkage with the customers such that it would excite them to use the company’s products. The brand runs intimate campaigns that connect with the audience and arises positive feelings and emotions amongst them such that they become invested in the brand and are motivated to engage with the brand’s products. The adverts of Chupa Chup, Mentos, etc. have used the “Magic of meaning” theory. Their advertisements carry a strong message that touches our values, emotions, and underlying beliefs.

In the focus group that we conducted, our team showed participants commercials for several brands of the company and then asked if they'd seen it before and what their thoughts were on it. Was it something they could relate to, and if so, why? The notion between the advertisements was a hit with all of the participants. They related to it because it reaffirmed their belief in sharing and reminded them of how important it is to connect and engage in the current world. It showed how Perfetti’s advertisements were relatable to the consumers around us too. This is the idea that Perfetti is attempting to reach, and we were able to gauge customer perceptions of the ads and how accurate Perfetti has been in targeting the right consumer sentiment. We next asked them if they were likely to buy the product, and 80 percent of the participants said yes.



ADVERTS

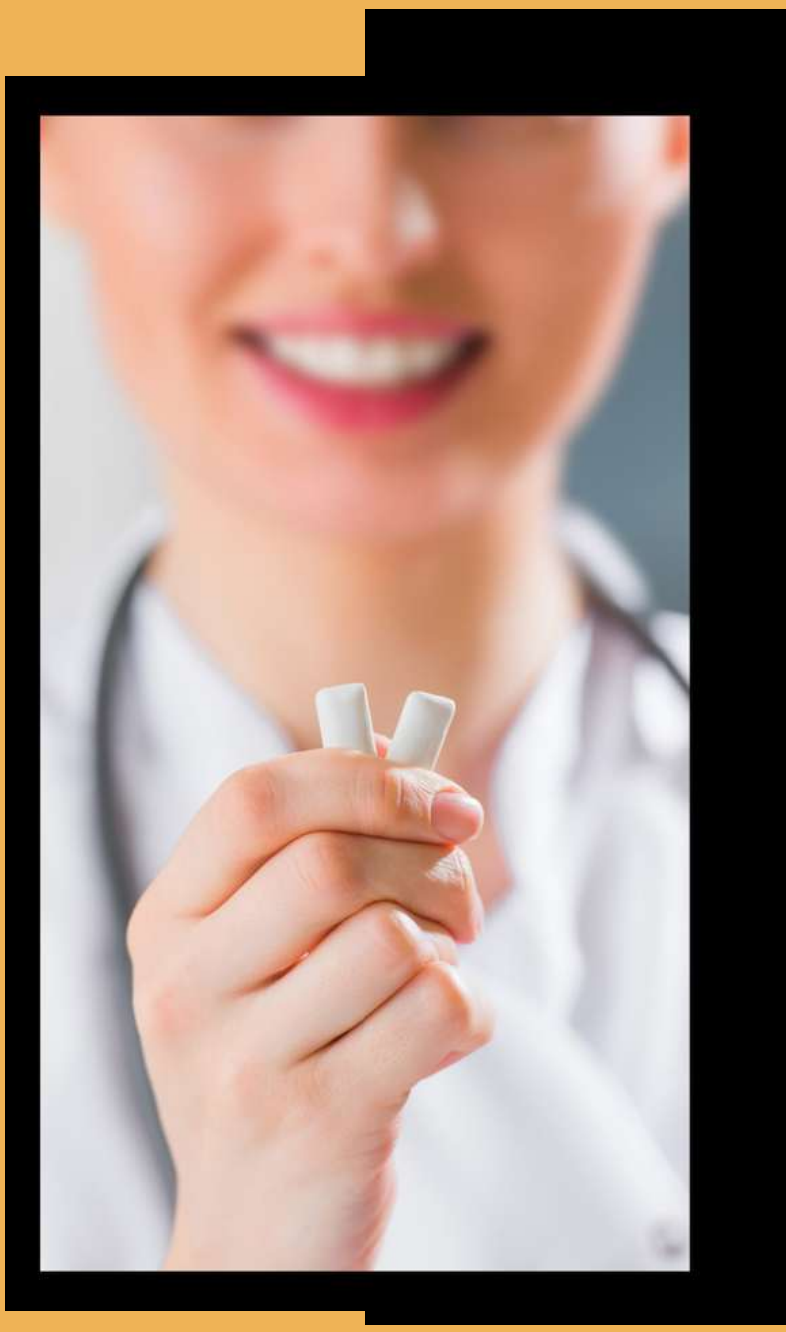
Furthermore, through our knowledge from Afnan's interview, we saw Perfetti use third parties for market research to identify consumer insights and trends. They conduct syndicated research at the point of sale to see what's selling the most (flavor/shape)? Who is buying it? Is there an intermediary, such as a mother buying it for her child? Which products are purchased by which households? Perfetti seeks to go deep into this to determine what the customer wants. Aside from that, usage and attitude studies are undertaken to help the organisation better understand the market, including buying patterns, product preferences, and growth opportunities. Ad hoc research is carried out to answer business questions regarding consumer behaviour. Through social listening, the company is able to gauge what is being said about the brand and what resonates with the brand. All these strategies assist them to collect insights into the brand's relevance to the consumer.

COVID-19 IMPACT

The pandemic had a drastic effect on the sales of all businesses, likewise, the market of confectionery products suffered huge losses as well. If we talk about our buying behaviors and how they've changed during the pandemic, we will notice that pre-pandemic we feared making online purchases but COVID changed this perceptive and we started buying everything online from furniture to clothes to even groceries. With a shift in this trend, industries suffered losses and they had to adapt to the changes to make profits. Even in countries like Pakistan, online shopping became very common and speaking of myself, I started buying things online for the first time during COVID-19 and now I am comfortable in making online purchases. One of the largest manufacturers of confectionery products and chewing gums had to go through it as well. According to sir Afnan, chewing gums and candies are never a part of one's shopping list, people plan to buy them only if either they're arranging a birthday party or are traveling. Apart from such occasions, people don't really think about buying them, but when they go grocery shopping in stores and see different types of chewing gums, Mentos, or other candies on the counter, they buy them too. During the pandemic, people stopped going to physical stores, and the sales were dropped significantly because confectionery products and chewing gums are not necessities, so people stopped buying them. Keeping in view this new situation, Perfetti also changed itself and shifted to online selling mode. The technology was used to work on the dropping sales and research was being done to create advertisements to grab the attention of customers and influence their behaviors into buying such products. Globally it worked and a significant increase of 500% in online sales was observed. But if we apply it to our local scenario of Pakistan, the behaviors of consumers would be very different. To understand this, we conducted the focus group and asked the participants to tell whether they would buy candies or chewing gums online or not? The majority said that they wouldn't because they don't consider it that important and they're good to go without them. Only one participant said that sometimes they do order candies and chewing gums packets when they're ordering other food items since the start of the pandemic. So, the insight we get from this is that to make it work in our local setting the company can do something like collaborating with the online stores to show their products to customers once they're done doing all the grocery shopping.

COVID-19 IMPACT

The important thing is that the Covid-19 has changed the habits of people and the studies prove that people would keep most of these habits post-pandemic too. One of such habits is that people have become more health-conscious, and now focus on consuming the products that are good for our health and boost immunity. Sir Afnan said that they manufacture multivitamin gummies named Bangnam in Italy catering to the needs of the local public because Italians do buy those candies and he was saying that post-pandemic consuming multivitamin candies will become a norm and it will become a part of people's buying behavior to prefer such products. But again, if we think about it in the local context and relate to what Pakistani people would do, we will realise that majority doesn't even bother taking essential vitamin tablets let alone buying confectionery products having such vitamins, so such products wouldn't be a success if introduced in Pakistan.



CONCLUSION

To conclude, Perfetti has been very successful in differentiating its goods and maintaining the heritage of its brands by staying relevant even today.

The whole process of it starts with the consumer and revolves around what they want. Quality and R&D are discussed on a daily basis in order to innovate and come up with new ideas in order to stay relevant to the market. Customers' requirements, trends, and attitudes are the focus of their research, which is why shape/flavors, etc. are so important. The majority of Perfetti's consumer trends for South Asia are similar to how customers behave in Pakistan. However, because the corporation does not directly operate in Pakistan, there isn't much involvement into consumer research here, therefore some of its initiatives, such as moving to the online, may not work that well.

APPENDIX

1. FOCUS GROUP

